

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

TOYOSHIMA INTERNATIONAL AMERICA, INC./TIA, *Claimant*

v.

MEDITERRANEAN SHIPPING COMPANY (USA) INC./MSC,
Respondent.

DOCKET NO. 1984(I)

Served: December 1, 2022

BEFORE: Theresa DIKE, *Small Claims Officer.*

ORDER APPROVING CONFIDENTIAL SETTLEMENT AND DISMISSING PROCEEDING

On September 16, 2022, the Secretary of the Federal Maritime Commission issued a Notice of Filing of Small Claims Complaint and Assignment (“Notice”), noting that Claimant Toyoshima International America, Inc./TIA (“TIA”) had filed an informal complaint against Respondent Mediterranean Shipping Company (USA) Inc./MSC (“MSC”). TIA alleged in its complaint that in violation of 46 U.S.C. § 41104(a) (3) and (a)(4)(E), MSC unreasonably delayed releasing original bills of lading on six shipments, causing TIA to suffer damages in the amount of \$10,600.00.

The Secretary instructed Respondent to file a response to the Claim by October 11, 2022, and to indicate whether it consents to the adjudication of the Claim under the informal procedures provided at Subpart S of the Commission’s Rules of Practice and Procedure (46 C.F.R. § 502.301-305). The Secretary also assigned the proceeding to the Chief Administrative Law Judge to designate a Small Claims Officer to adjudicate the proceeding.

On October 11, 2022, Respondent requested, and was granted extension of time until October 31, 2022, to file its response. Again, on October 31, 2022, and November 14, 2022, the parties sought, and were granted extension of time until November 14, 2022, and November 28, 2022, respectively, indicating that they were negotiating a settlement of their dispute and were in the process of finalizing a settlement agreement. On October 23, 2022, Claimant submitted a motion to dismiss its complaint, together with a copy of a settlement agreement and release signed by the parties. Respondent has not yet filed a response to the Claim and did not object to the adjudication of this Claim under the informal procedures. Accordingly, on December 1, 2022, the Chief Administrative Law Judge assigned this proceeding to the undersigned for adjudication under the Commission’s informal procedures.

Complainant seeks to withdraw its claim against Respondent based on a settlement agreement between the parties resolving their dispute. Pursuant to the Commission's Rule 72(a)(3):

[A]n action may be dismissed at the complainant's request only by order of the presiding officer, on terms the presiding officer considers proper. If the motion is based on a settlement by the parties, the settlement agreement must be submitted with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable. Unless the order states otherwise, a dismissal under this paragraph is without prejudice.

46 C.F.R. § 502.72(a)(3). Although Rule 72, governing dismissal of Commission proceedings, is not applicable to Subpart S proceedings, the undersigned used the rule as guidance for ruling on Claimant's request to dismiss the Claim.

The Commission's regulations allow settlements by litigating parties, however the Commission requires that settlement agreements be submitted "for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable." *Maher Terminals v. The Port Authority of N.Y. & N.J.*, 34 S.R.R. 322, 325 (FMC 2016). In reviewing settlement agreements, the Commission is guided by its "strong and consistent policy of encouraging settlements and engaging in every presumption which favors a finding that they are fair, correct, and valid." *Maher Terminals*, 34 S.R.R. at 326 (quoting *APM Terminals North America, Inc. v. Port Authority of N.Y. & N.J.*, 31 S.R.R. 623, 626 (FMC 2009)).

"While following these general principles, the Commission does not merely rubber stamp any proffered settlement, no matter how anxious the parties may be to terminate their litigation." *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1092 (ALJ 1978). However, if a "proffered settlement does not appear to violate any law or policy and is free of fraud duress, undue influence, mistake or other defect which might make it unapprovable despite the strong policy of the law encouraging approval of settlements, the settlement will probably pass muster and receive approval." *Id.* At 1093. "[I]f it is the considered judgment of the parties that whatever benefits might result from the vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement." *Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988).

The parties state that they "are entering into this Settlement Agreement for the purpose of making peaceful resolution between them," and that any "consideration being exchanged pursuant to this Settlement Agreement is the result of negotiation based on the Parties' evaluation of the risks and costs associated with litigation and is accordingly deemed mutually just and appropriate by the Parties." Settlement Agreement at 2. Further, Claimant "represents that it has relied upon the advice of its attorneys, who are the attorneys of its own choice and that the terms of this Settlement Agreement have been completely read and explained to it by its attorneys, and that those terms are fully understood and voluntarily accepted by it." Settlement Agreement at 2.

A review of the settlement agreement, which is signed by both parties, does not show any indicia of fraud, duress, undue influence, or mistake and appears to reflect an arm's-length resolution between the parties. The terms appear to be fair, reasonable, and adequate. Accordingly, the parties' settlement agreement is approved, and this proceeding dismissed.

Although the parties did not specifically request confidentiality, the Settlement Agreement states that each party "acknowledges the confidential nature of the existence and terms and conditions of this Settlement Agreement" and hold each other responsible for any breach of the confidential information in the Settlement Agreement. Settlement Agreement at 2. It is thus presumed that the parties are seeking confidentiality for their agreement. "If parties wish to keep the terms of their settlement agreements confidential, the Commission, as well as the courts, have honored such requests." *Al Kogan v. World Express Shipping, Transportation and Forwarding Services, Inc.*, 29 S.R.R. 68, 70 n.7 (ALJ 2000) (internal citations omitted); *Marine Dynamics v. R.T.M Line, Ltd.*, 27 S.R.R. 503, 504 (ALJ 1996); *International Association of NVOCCs v. Atlantic Container Line*, 25 S.R.R. 1607, 1609 (ALJ 1991). The parties' implied request to keep their settlement agreement terms confidential is reasonable and thus granted.

Upon consideration of the proposed settlement and Claimant's motion to dismiss its Claim, and for the reasons stated above, it is hereby

ORDERED that the settlement agreement be **APPROVED**. It is

FURTHER ORDERED that the request for confidentiality be **GRANTED**. It is

FURTHER ORDERED that this proceeding be **DISMISSED WITH PREJUDICE**.



Theresa Dike
Small Claims Officer